

Understanding Primary Sales and Secondary Sales and How They Balance Demand and Supply by Sarah Annisa | Medium

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There are two main types of sales activities: Primary Sales and Secondary Sales. See how it affects your product demand and supply. Let's start by understanding Primary Sales.

Primary Sales refer to the selling activities conducted by a company directly to its buyers. In the FMCG or manufacturing industry, these buyers often act as distributors who then distribute the products to customers through various retail outlets such as supermarkets, minimarkets, and provisions stores. Primary Sales help us measure the number of products sold on a given day. However, when it comes to predicting current and future sales potential, we should pay more attention to Secondary Sales. Secondary Sales are closely linked to Primary Sales. It refers to the selling activities that occur between our direct buyers (distributors) and the end customers. This can involve selling the products through retail stores or directly to the consumers themselves. Let's consider an example: our company produces and sells chocolates. We sell chocolates to distributors who then supply them to supermarkets in town. This initial sale to the distributor is classified as Primary Sales. When the distributor sells the chocolates to the supermarket owner, it is categorized as Secondary Sales. In smaller industries, Secondary Sales can sometimes occur directly between the distributor and the consumer, without the need for intermediate stores. Let's say we are selling cakes in a home industry setting. A cake chef, like a housewife running her business from home, sells cakes to a bakery and pastry store. This is considered Primary Sales. When the bakery and pastry store then sells the cakes to individual consumers, it becomes Secondary Sales. Now, why should we care about Secondary Sales? Why is it important to define and track our selling activities?

Maintaining a focus on Secondary Sales provides insights into consumer demand, helps us predict our progress, estimate future sales, and develop strategies to enhance brand awareness for our products. Let's consider a scenario: if we sell 5 apples in Primary Sales, but only 3 apples are sold in Secondary Sales, what can we conclude? Clearly, our product is not generating significant demand in the market. In such cases, we might consider reducing the number of apples we sell in the future. On the other hand, if we sell 5 apples in Primary Sales, but there is a demand for 10 apples in Secondary Sales, what should we do? We should increase our apple supply to meet the demand in Secondary Sales. Keep them balanced as much as possible. These two types of selling can lead to two different outcomes: Firstly, if Primary Sales exceed Secondary Sales, it indicates that our product is less desirable in the market. This has negative implications, such as excess stock in stores and, worst of all, a potential reduction in future orders from our distributors. Imagine if we supply 100 candies to a store in Primary Sales, but only 30 candies are purchased by consumers in Secondary Sales. In such a situation, the store is unlikely to request more candy supplies from us since our candies would continue to pile up on their shelves. Secondly, if Secondary Sales exceed Primary Sales, is it a good thing? Not necessarily. While it signifies high demand compared to supply, we need to consider the availability of our product in stores. Let's say we supply 50 candies to a store in Primary Sales, but consumers require 150 candies based on actual sales. This would lead to an out-of-stock (OOS) condition. Remember, consumers are king, and they won't wait indefinitely. To avoid an OOS condition, we must be prepared to produce and stock more candies quickly. Delaying this could result in consumers switching to competitor candies. Ideally, there should be a balance between Primary and Secondary Sales. Although we don't live in a perfect world, we can strive to minimize the significant gap between these two types of sales. Wrap up In conclusion, understanding the

dynamics between Primary Sales and Secondary Sales is crucial for effectively managing product demand and supply. While Primary Sales give us insights into immediate sales figures, it is Secondary Sales that provide valuable information about consumer demand and future sales potential. By maintaining a balance between these two types of sales, businesses can optimize their inventory, predict sales trends, and develop strategies to meet customer expectations. It is essential to track and analyze both Primary and Secondary Sales to make informed decisions and stay competitive in the market.